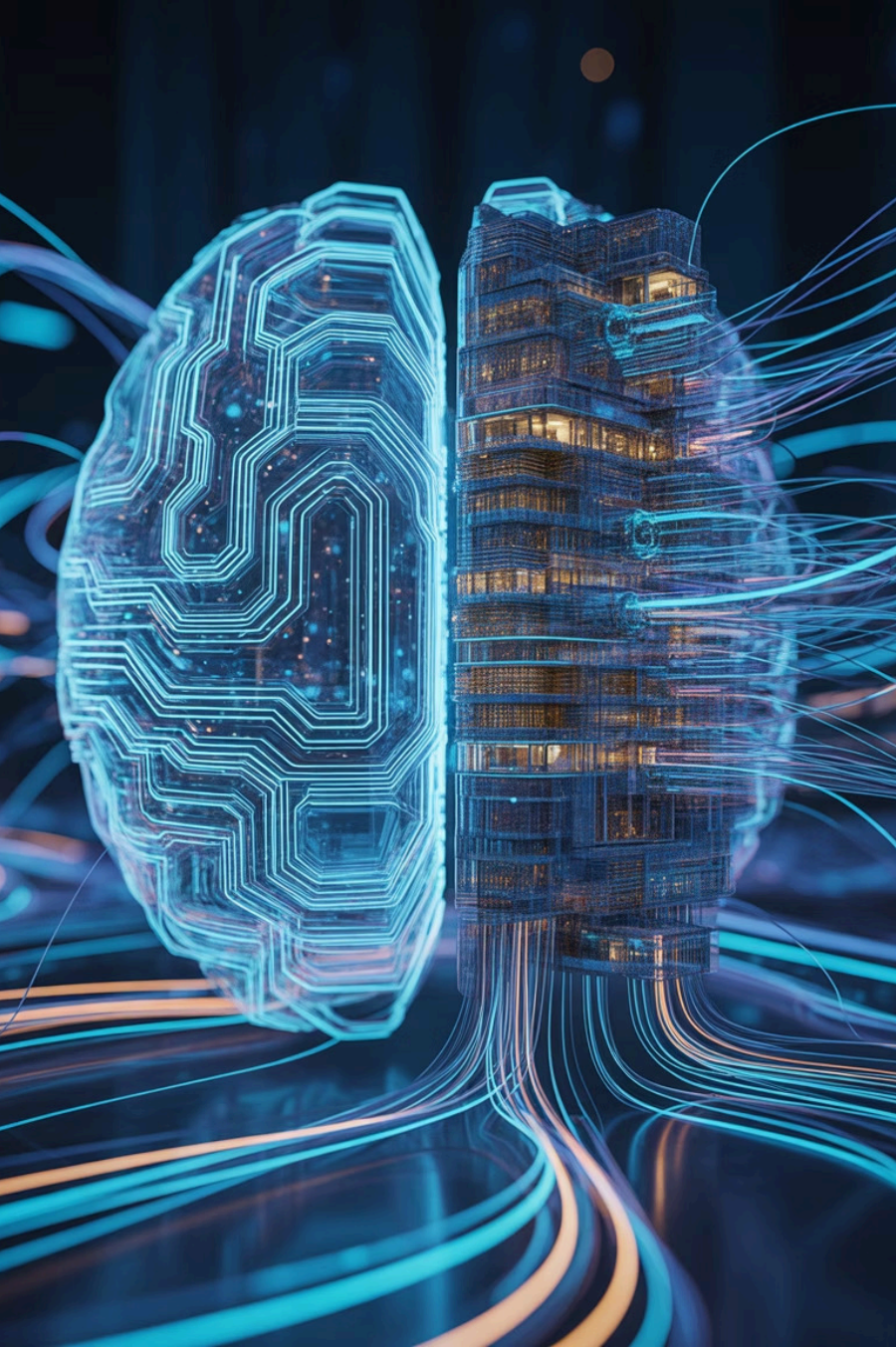




EMPOWER Labs

Session 2: The Invisible Structure of Business

Today, we'll focus on understanding the **5 stages AI-enabled business evolution**, identifying which stage your organization is currently at, and understanding **why process is the key** to further evolution.

Milestones: Where You Should Be At This Point



Logged in to your Circle account



Introduced yourself in the community

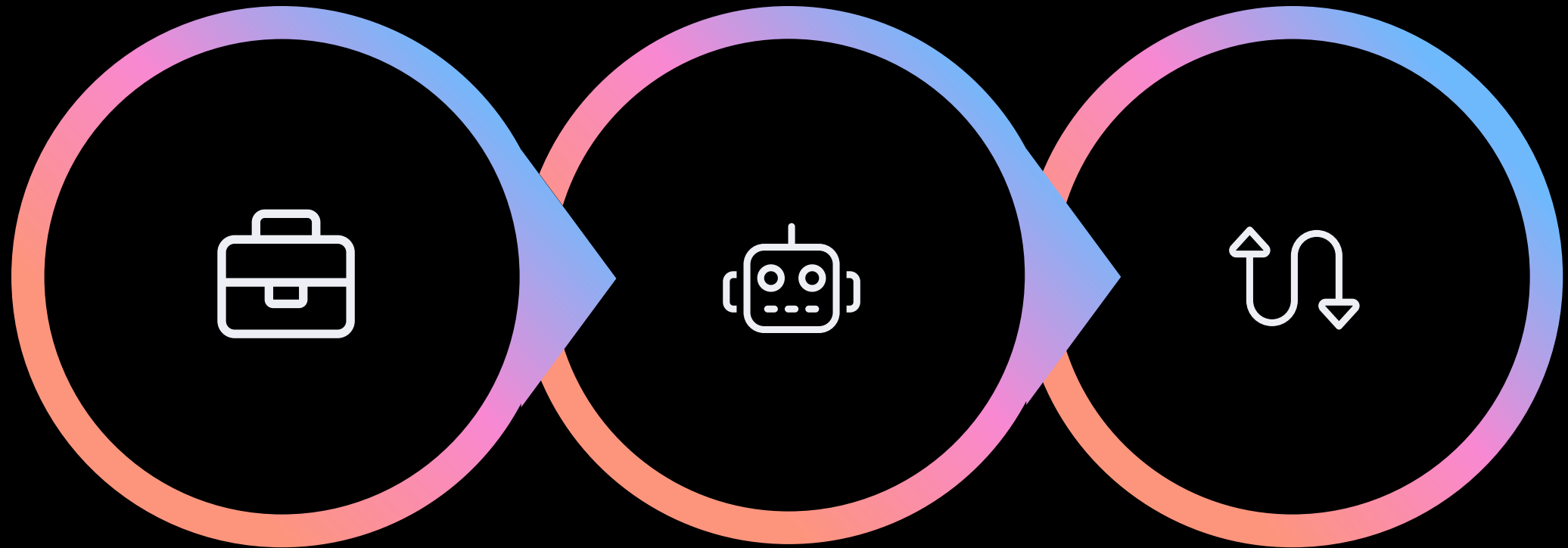


Activated a paid Claude account (Pro or higher)



Created your Master Prompt v.1

What You'll Get Out of This Session



1. The 3 Parts of
a Business

2. The 5 Stages
of AI-Enabled
Business
Evolution

3. Evolve Your
Business

Part 1: The 3 Parts of a Business

Providing a clear framework for analyzing how an organization works and why it might struggle with change or innovation

What Are the 3 Parts of a Business?

According to Clayton Christensen's RPP Framework



Resources

The "what" – assets a company can use



Processes

The "how" – ways resources work together



Priorities

The "why" – values that guide decision-making

Resources – the Traditional View

"Our company needs to hire developers with cloud architecture experience."

People

Employees with their skills, knowledge, and relationships

Capital

Cash, credit, investment funds

Physical

Equipment, facilities, inventory

Intellectual

Patents, copyrights, trade secrets, customer lists

Brand

Reputation, trust, customer relationships

Processes – the Traditional View

"Our onboarding process takes seven steps across three departments."

Manufacturing

How products are created

Customer Acquisition

How leads become customers

Fulfillment

How products/services are delivered

Support

How customers are assisted

Improvement

How the organization learns and adapts

Priorities – the Traditional View

"We prioritize customer retention over new acquisition."

Strategy

What markets to enter or exit

Resource Allocation

Where to invest time and money

Operations

What quality standards to maintain

Customer

Which segments to focus on

Innovation

What new capabilities to develop

Christensen's Key Insights

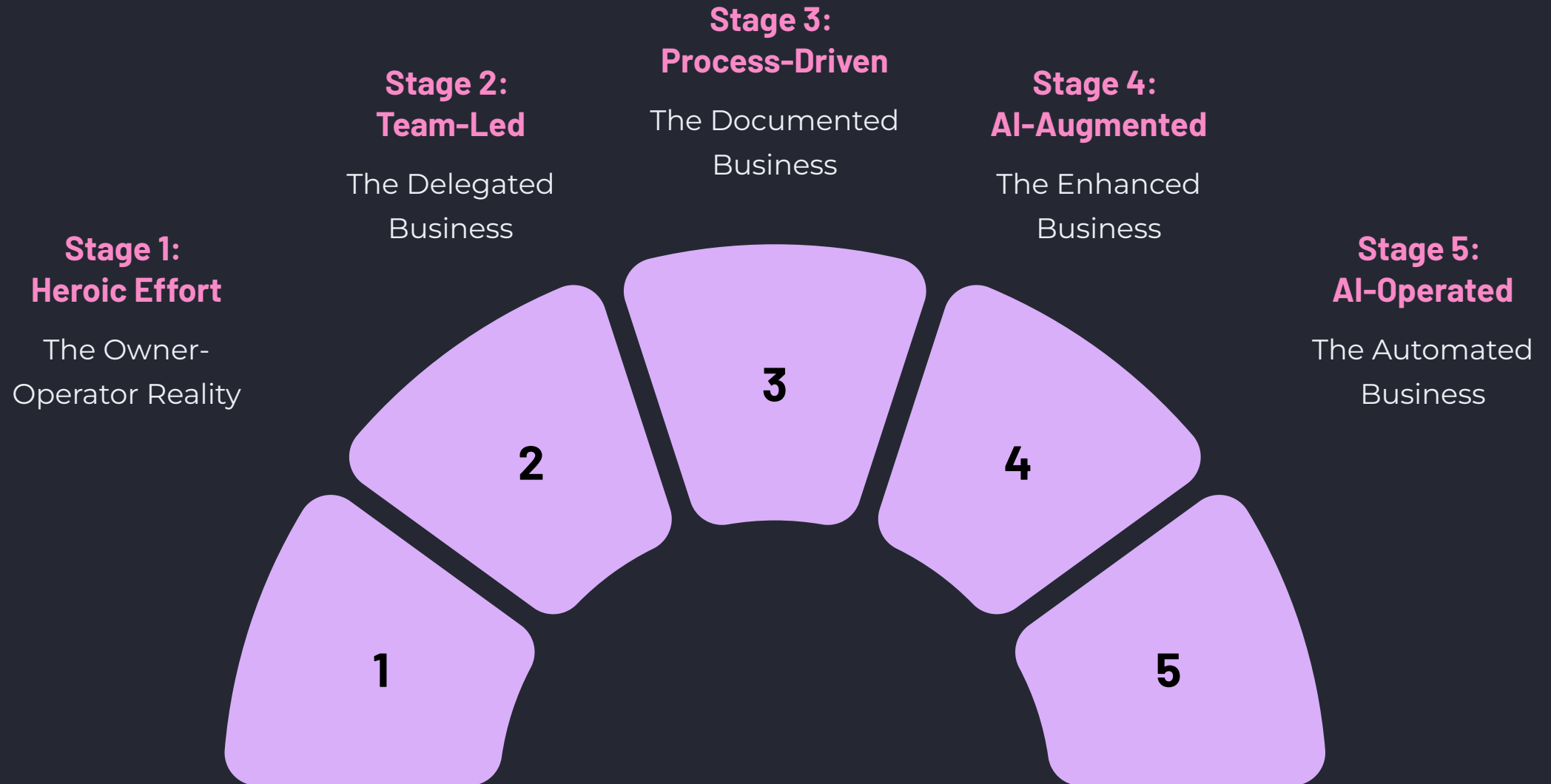
- **Resources** are often transferable between contexts.
- **Processes** are typically optimized for specific tasks and much harder to repurpose.
- This explains why organizations with excellent resources can still fail **if their processes don't effectively deploy those resources.**
- The typical mentality is to think about adding more resources first; but adding more resources scales linearly, and **if you add resources to a business that doesn't have good processes, you just scale problems.**

The Innovator's Dilemma (1997) & The Innovator's Solution (2003)

Part 2: The 5 Stages of AI-Enabled Business Evolution

Providing an overview how businesses evolve from human-operated to AI-driven organizations

The 5 Stages Overview



Stage 1: The Heroic Effort Business

The Owner-Operator Reality

"Everything depends on me."

- **Resources:** Primarily the owner's time, energy, and relationships
- **Processes:** Ad hoc, inconsistent, undocumented
- **Priorities:** Reactive, based on whoever screams loudest



Stage 1: The Heroic Effort Business

Limitations

- **Scale Ceiling:** Maximum 12-25 direct reports to owner
- **Owner Dependency:** Business cannot function without founder
- **Decision Bottleneck:** All significant decisions flow through owner
- **Knowledge Risk:** Critical knowledge exists only in owner's head



Stage 2: Team-Led

The Delegated Business

"We've built a leadership team that can run the business."

- **Resources:** Leadership team with defined roles and accountability
- **Processes:** Consistent approaches with informal documentation
- **Priorities:** Leadership team drives strategic decisions together



Stage 2: Team-Led

Limitations

- **People Dependency:** Still reliant on key individuals
- **Process Gaps:** Approaches exist but aren't fully documented
- **Knowledge Concentration:** Critical knowledge in leadership team
- **Execution Variance:** Inconsistency across departments



From Stage 1 to 2: The Mindset Shift

From Doer to Leader

"My job isn't to do everything—it's to build and lead a team that can."

- Stop being the bottleneck for every decision
- Delegate ownership, not just tasks
- Build leadership capacity in others
- Focus on strategy, not operations



Stage 3: Process-Driven

The Documented Business

"We've built systems that work consistently, regardless of who operates them."

- **Resources:** Documented roles with systematic training and development
- **Processes:** Comprehensive SOPs with quality control and measurement
- **Priorities:** Data-driven decisions with continuous improvement focus



Stage 3: Process-Driven

Limitations

- **System Rigidity:** Documented processes can become inflexible
- **Documentation Overhead:** Significant time investment to maintain SOPs
- **Change Resistance:** Teams may resist process modifications
- **Scale Complexity:** New systems needed beyond 150+ employees

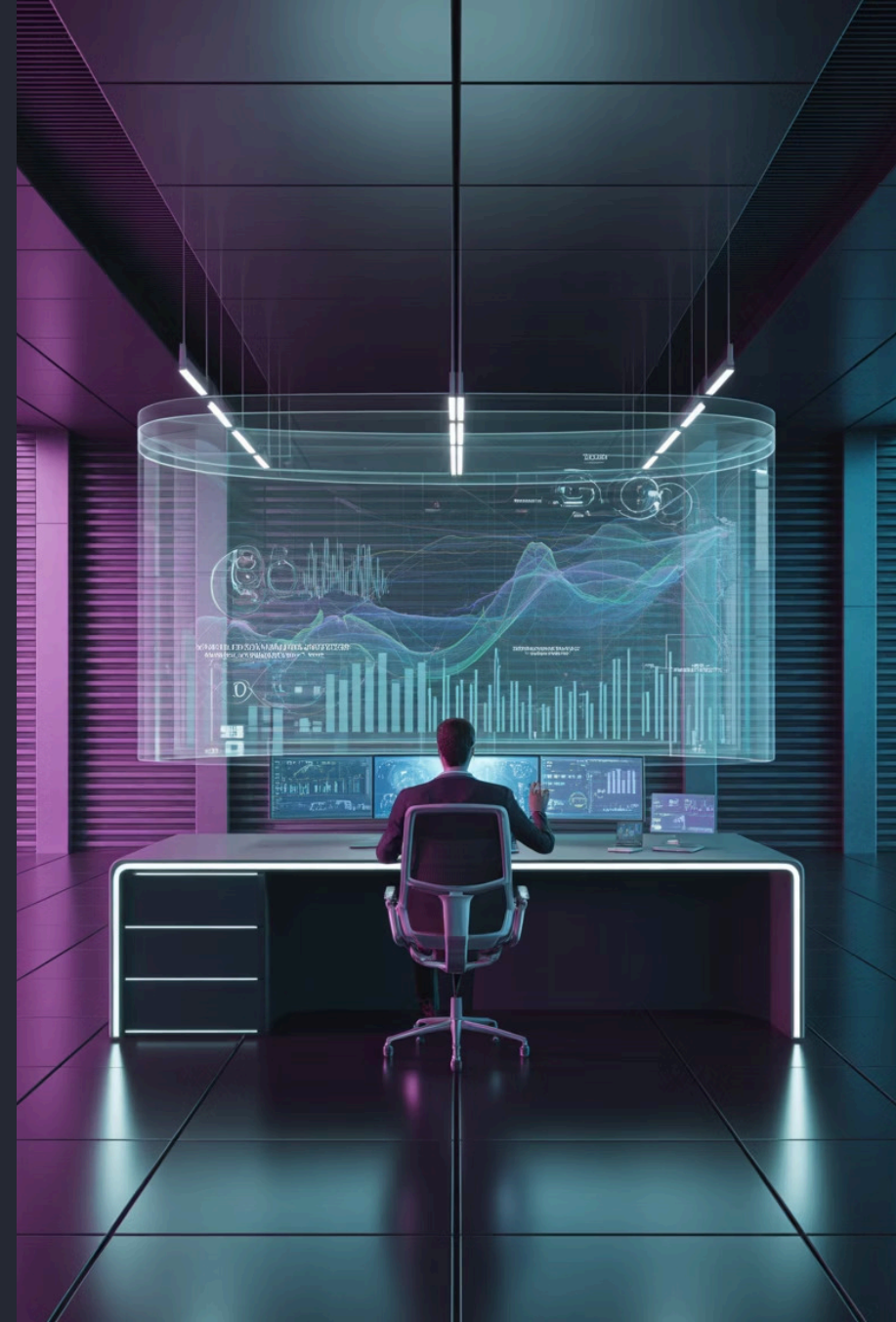


From Stage 2 to 3: The Mindset Shift

From Leader to System Designer

"My job isn't to manage people—it's to design systems that manage themselves."

- Document everything that works consistently
- Build processes that reduce people dependency
- Create measurement systems for continuous improvement
- Design the business to run without you



Stage 4: AI-Augmented

The Enhanced Business

"AI handles the routine so humans can focus on the exceptional."

- **Resources:** AI tools amplifying human expertise and creativity
- **Processes:** Semi-automated workflows with AI assistance
- **Priorities:** Human judgment enhanced by AI insights and analysis



Stage 4: AI-Augmented

Limitations

- **AI Skill Gap:** Requires workforce skilled in AI collaboration
- **Technology Integration:** Complex systems require ongoing management
- **Quality Control:** AI outputs need human oversight and validation
- **Competitive Pressure:** Advantage diminishes as AI adoption spreads



From Stage 3 to 4: The Mindset Shift

From System Designer to Technology Integrator

"I'm building hybrid teams of humans and AI with complementary strengths."

- Identify where AI can enhance human capabilities
- Design workflows that leverage both human and AI strengths
- Invest in AI-literate talent and training
- Create competitive advantage through superior AI integration



Stage 5: AI-Operated

The Automated Business

"The business runs itself within the parameters we've set."

- **Resources:** AI systems with strategic human oversight
- **Processes:** Fully automated with intelligent exception handling
- **Priorities:** Human-defined objectives with AI execution and optimization



Stage 5: AI-Operated

Limitations

- **Moat Requirement:** Sustainable advantage demands unique AI capabilities
- **Strategic Risk:** Over-automation may reduce adaptability
- **Human Element:** Some customer relationships still require human touch
- **Regulatory Risk:** AI governance and compliance complexity



From Stage 4 to 5: The Mindset Shift

From Technology Integrator to Orchestra Conductor

"I set the vision and standards, then let the systems execute and optimize."

- Define strategic objectives and ethical boundaries
- Let AI systems handle tactical execution
- Focus on competitive moat development
- Orchestrate rather than operate



Valuation Evolution

As businesses evolve through the 5 stages, their valuation metrics fundamentally transform:

Stage	EBITDA/employee	Exit multiple	EBITDA Potential	Key value driver
1. Heroic Effort	\$25–75k	2–3x	Rarely exceeds \$1.5M	Owner expertise
2. Team-Lead	\$50K-\$100K	3–5x	\$2M-\$5M	Systems & repeatability
3. Process-Driven	\$100K-\$500K+	4–8x+	\$5M-\$10M+	Systems & transferability
4. AI-Augmented	\$150K-\$1M	Higher based on AI-driven competitive advantages		AI leverage & efficiency
5. AI-Operated	1-2 person billion-dollar companies possible	Unprecedented for companies with true competitive moats		System autonomy & moat

The 5 Stages in Practice – Resources Examples

1. Heroic Effort	2. Team-Led	3. Process-Driven	4. AI-Augmented	5. AI-Operated
• Owner works 80+ hours/week • Hires based on immediate need • Cash flow managed day-to-day	• Functional leadership team • Departmental structure • Management communication rhythms • Delegated decision authority	• Documented roles and expectations • Systematic training programs • Knowledge management systems • Standardized tools and platforms	• AI-enabled employees • Strategic/creative roles prioritized • AI systems as IP assets • Hybrid human-AI teams	• AI agents manage entire functions • Humans as strategic architects • Self-monitoring systems • Continuous learning systems

The 5 Stages in Practice – Processes Examples

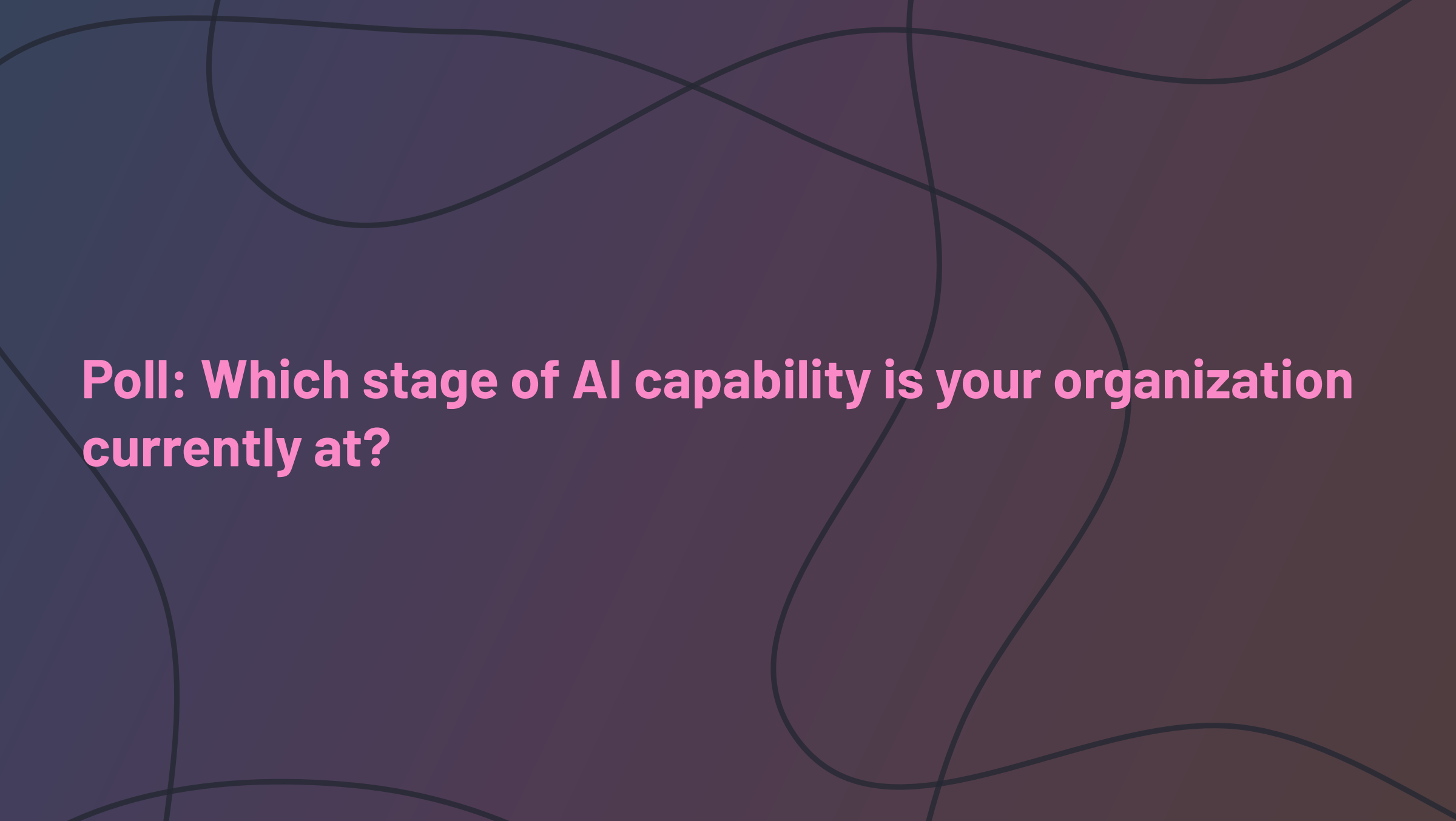
1. Heroic Effort	2. Team-Led	3. Process-Driven	4. AI-Augmented	5. AI-Operated
• Every client gets custom experience • Owner handles major decisions • Problem-solving reinvented each time	• Regular leadership meetings • Clear escalation paths • Basic performance management • Consistent informal approaches	• Comprehensive SOPs • Quality control checkpoints • Formal training programs • Predictable workflows	• AI generates first-draft content • Automated reporting and insights • Decision support systems • Predictive analytics guide planning	• End-to-end automation • AI-driven optimization • Seamless function integration • Intelligent market adaptation

The 5 Stages in Practice – Priorities Examples

1. Heroic Effort	2. Team-Led	3. Process-Driven	4. AI-Augmented	5. AI-Operated
• Whatever's on fire gets attention • Strategic decisions change frequently • Growth limited by owner bandwidth	• Leadership team sets direction • Departments have autonomy • Owner focuses on strategy • Resource allocation by consensus	• Process improvement drives decisions • Data guides resource allocation • Systematic problem-solving • Performance standards define success	• AI identifies opportunities • Predictive models guide allocation • Human judgment for strategic decisions • Continuous AI-human collaboration	• Humans define strategic objectives • AI translates goals to tactics • Real-time resource optimization • Competitive advantage through AI orchestration

The 5 Stages in Practice

Category/ Stage	1. Heroic Effort	2. Team-Led	3. Process-Driven	4. AI-Augmented	5. AI-Operated
Resources Examples	- Owner works 80+ hours/week - Hires based on immediate need - Cash flow managed day-to-day	- Functional leadership team - Departmental structure - Management communication rhythms - Delegated decision authority	- Documented roles and expectations - Systematic training programs - Knowledge management systems - Standardized tools and platforms	- AI-enabled employees - Strategic/creative roles prioritized - AI systems as IP assets - Hybrid human-AI teams	- AI agents manage entire functions - Humans as strategic architects - Self-monitoring systems - Continuous learning systems
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Poll: Which stage of AI capability is your organization currently at?

Breakout Discussion

Take 12 minutes in groups of 3-4 to introduce yourselves and answer:

Company Name?

Which part/process/function of your organization is currently at the lowest of the 5 stages?

And which one is the highest?



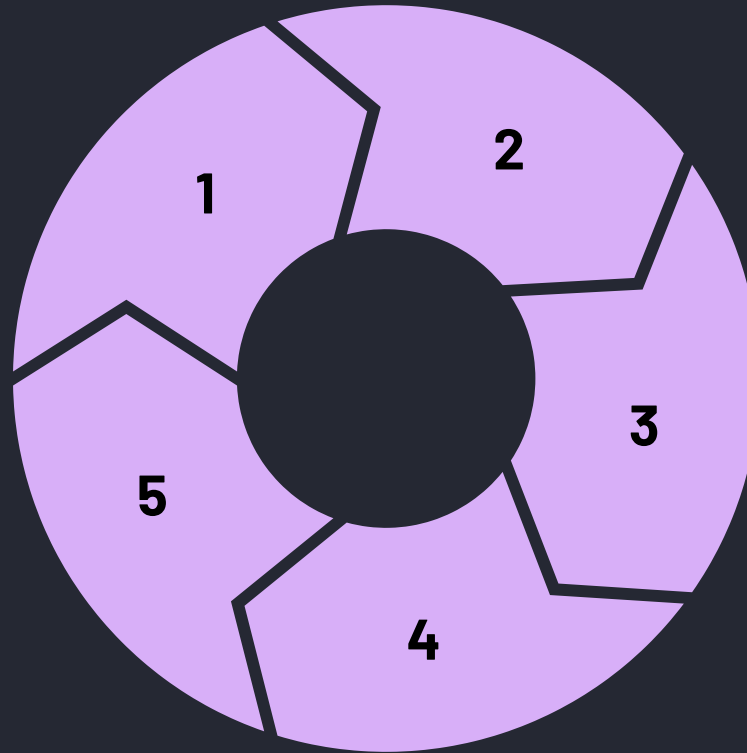
Part 3: Evolving Your Business

Exploring how your business might move from one stage to the next

Practical Steps to Evolve Your Business

Assess your current stage
honestly

Move to digital
automation only after
augmentation succeeds



Document everything
before you automate
anything

Delegation IS a form of
automation

Start with augmentation
in one business function

Why Process Management Matters Now More Than Ever

Since most of you are likely on a spectrum between Stages 1, Stage 2 and Stage 3, the key step is to build out your processes using AI as your thought partner:

1 Using AI to Build Better Systems

Using AI to create processes for key functions, in a fraction of the usual time

2 Building AI-First Systems

What previously impossible tasks can AI now allow us to do?



Your Next Steps

01

Know Your Customer Lifecycle

No matter what business you run, a customer always follows the same journey.

02

Explore the 3 Layers of Business Processes

The Customer Lifecycle is just one of three layers of processes that every business should pay attention to.

03

Learn How RACI Connects People and Process

RACI introduces a practical way to manage who does what within each process.

04

Add "Shared Language" to Your Master Prompt

When you share business process framework, style preferences and strategic approaches with Claude, you tailor its answers further.

05

Add Your Resources to Your Master Prompt

By further refining your Master Prompt with your resource constraints, it becomes a more powerful thinking partner.

Join Live Session 3: The EMPOWER Operating System

Friday, January 30 at 10 am PT / 1 pm ET

The word "EMPOWER" is rendered in a 3D, blocky font. The letters are white with a yellow outline and are positioned on a dark blue, curved surface that resembles a stylized ramp or a futuristic track. From the base of the letters, bright blue energy or light rays emanate, creating a sense of power and motion. The background is a deep, dark blue gradient.

Q&A

Your turn to ask your questions

